

\$1 million in placement fees in exchange for directing NYSCRF pension money to certain investment firms. Hevesi went to prison.

Thomas DiNapoli, appointed in 2007 to fill out Hevesi's remaining term as comptroller, introduced a number of reforms to improve transparency and prevent fraud. DiNapoli used outside advisors, consultants, and legal experts and established committees of professionals to advise him on the retirement system, investments, real estate, and actuarial valuations. Yet ultimately these structures and individuals were all merely advisory; the comptroller retained absolute control.²

The NYSCRF was subject to the same principal-agent issues as corporate pension plans, including the self-interest of managers and the misalignment of manager and beneficiary incentives. But as a public pension plan, the NYSCRF had additional principal-agent problems related to the conflicting interests of taxpayers and politicians, since taxpayers bore residual responsibility for the plan's liabilities.³ Public agencies often face limits on the salaries that can be paid to employees, and thus the most talented investment managers, in general, are not available to public pension plans. The legislative and political process can also hamper the management of a public pension fund.

Eric Schneiderman, New York's attorney general, has criticized the sole trustee model. "Being a sole trustee gives more power than a good comptroller should want and more power than a corrupt comptroller should have," he said.⁴

But a board of trustees, instead of just one all-powerful trustee, has its own disadvantages. Trustees appointed by politicians, government officials, or unions may not have investment expertise and could be dominated by special interest groups. Or they could simply be crooks.

What is the right governance model for NYSCRF?

2. Principal-Agent Problem

Asset owners do not usually manage their own wealth. Instead, they employ an asset manager. This gives rise to an *agency problem*. The asset owner is the *principal*, who delegates portfolio management responsibility to the fund manager, who is the *agent*. The terms "principal" and "agent" come from common law.

²Strictly speaking, the state comptroller has direct, full control over all assets except real estate. Under Section 423(b) of the New York State Retirement and Security Law, all real estate transactions need approval from the Real Estate Advisory Committee. But the members of the committee are appointed by the comptroller! For further information on the sole trustee function and other responsibilities of the comptroller, see Sanzillo (2012).

³Under Article V, Section 7 of the New York State constitution, the public pension liabilities rank among the most senior of all unsecured state debt. Put another way, state pensions have the same seniority as general obligation New York state bonds.

⁴Editorial, "From Pay-to-Play to Jail," *New York Times*, April 16, 2011.